SUSTAINABLE SNEAKER START-UP OKEPAS CASE STUDY

The OKEPAS case explores the challenges faced by a sustainable sneaker startup as it confronts a sudden and dramatic increase in US tariffs on Chinese manufactured goods in April 2025. OKEPAS built its business model around mass customization, sustainability, and a lean, China-based supply chain. When tariffs on footwear imports soared to 145%, OKEPAS' cost structure became unsustainable, threatening its survival in its largest market.

The case offers us the opportunity to discuss the impact of geopolitical risks on global supply chains, and understand how sudden changes in trade policy, such as tariffs, can disrupt supply chains and threaten business models, especially for startups with centralized production bases. Our discussion will evaluate strategies for building supply chain resilience, and assess different approaches to building flexible and resilient supply chains that can absorb shocks and adapt to changing global conditions.

DISCUSSION QUESTIONS:

1. Given the tariff escalation in April 2025, what short and long-term risks does OKEPAS face in continuing to rely on a China-centered supply chain? **(TEAM 1)**
2. How do the risks faced by OKEPAS affect not only cost and logistics, but also brand positioning, speed to market and customer satisfaction? **(TEAM 1 Continues)**
3. Could partial relocation of production (e.g., manufacturing the white base shoes in China and completing customization in Italy or the US for the European and US markets, respectively) offer a viable form of operational postponement? What are the trade-offs in terms of lead time, cost, and control? **(TEAM 3)**
4. How could OKEPAS rethink its market focus in light of restricted access to the US market? Which customer markets and customer segments might offer strategic growth opportunities with more favorable trade conditions or stronger demand for customization? **(TEAM 6)**
5. To what extent should OKEPAS revisit its pricing strategy given its high cost of goods sold (COGS) and minimal initial margins? Could tiered customization or modular pricing provide a better alternative to raising prices without compromising the value proposition? **(TEAM 6 Continues)**
6. What capabilities and supply chain structures would be required to build a resilient, future-proof operating model? **(TEAM 4)**
7. What other strategic options should the OKEPAS CEO consider mitigating tariff exposure while maintaining OKEPAS made-to-order, premium customization model **(TEAM 4 Continues)**